

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-34

SEAFAIR USA LLC

VS.

**STERLING CONTAINER LINE LIMITED AND
ATLANTIC FORWARDING LTD.**

**RESPONDENTS' MOTION FOR LEAVE TO FILE SUR-REPLY
AND TO SUPPLEMENT THE RECORD**

Pursuant to 46 C.F.R. § 502.69 and § 502.216, Respondents Sterling Container Line Limited (“Sterling”) and Atlantic Forwarding Ltd. (“Atlantic,” and together with Sterling “Respondents”), by and through undersigned counsel, hereby move for leave to file a sur-reply to Complainant SeaFair USA LLC’s (“Complainant” or “SeaFair”) Reply Brief (Doc. No. 28; Dkt. 22-34), on the grounds that Complainant improperly introduced new arguments as well as new evidence contained in SeaFair’s Supplemental Appendices 1 and 2. While captioned in title-only as a Reply Brief, Complainant’s filing is an attempt to improperly lodge new arguments and evidence (all of which was previously available to Complainant), and in contravention of FMC procedural rules.

In the event the Presiding Officer and Administrative Law Judge (“ALJ”) grants Respondents’ request to file a sur-reply, Respondents request 10 days from the issuance of any such order to file its sur-reply.

Counsel for Respondents has conferred with counsel for Complainant, who authorizes us to state that Complainant opposes this Motion.

I. INTRODUCTION

On July 6, 2023, the ALJ issued the Fourth Amended Scheduling Order in this case, which required Complainant to submit its Reply Brief and Responses to Respondents' Proposed Findings of Fact on September 12, 2023. (Doc. No. 23; Dkt. 22-34). Instead of filing a Reply Brief, Complainant's pleading (i) contained "rebuttals" to Respondents' Responses to SeaFair's Proposed Findings of Fact, and (ii) improperly introduced new evidence in the form of two supplemental appendices (Appendix 1 and Appendix 2, collectively, the "Supplemental Appendices") in support of its arguments.

Not only were the Supplemental Appendices not permitted by or requested within the governing Scheduling Order, even if they were properly admitted in this case, *e.g.*, pursuant to a Motion to Supplement the Record under 46 C.F.R. § 502.216 and § 502.69 (which Complainant has not filed), the Supplemental Appendices did not comply in any way with the Initial Scheduling Order of January 18, 2023. (Doc. No. 7; Dkt. 22-34). Under the Initial Scheduling Order, appendices are required to be in the form mandated in the Scheduling Order, including the following requirements: "(a.) The cover of the appendix shall identify the party or parties that prepared the appendix; (b.) The appendix should be in one PDF document, if practicable. The pages of the appendix shall be numbered sequentially....(c.) The appendix must begin with a table of contents identifying the page at which each individual document begins and each exhibit should be clearly identified, for example, by a cover sheet or bookmark."

Complainant's Reply Brief's Supplemental Appendix 2 is a set of zip files containing 9 separate email threads in Outlook HTML messages, some of which contain multiple PDF and .rtf Word document files attached within them. There is no cover page, table of contents, sequential page numbers, or identifying information about the contents of these files, as required per the

Initial Scheduling Order. *Id.* SeaFair’s Reply Brief’s Section I contains “rebuttals” to Respondent’s Responses to SeaFair’s Proposed Findings of Fact, including two references in support of new arguments, not previously asserted by Complainant, regarding the reasonableness of its invoice collection practices under its terms and conditions as follows with respect to Supplemental Appendix 2: “SeaFair’s collection emails that were produced in the discovery are attached as Appendix 2 to this Reply.”

Complainant’s Reply Brief’s Supplemental Appendix 1 contains a set of bills of lading that were produced to it by the Respondents in discovery in June of 2023. These documents were known and available to Complainant when it submitted its Opening Brief on July 28, 2023. Instead, based on Respondents’ Opposition Brief, Complainant recognized that it relied on self-inflicted mischaracterizations of its own appendix exhibits contained in its Opening Brief (which it now labels “counter-factual”), and subsequently sought to supplement the record by introducing new evidence in its Reply Brief that was available to Complainant far in advance of its Opening Brief filing. Complainant then made new arguments regarding agency and its own course of dealing with non-party Mediterranean Shipping Company S.A. (“MSC”) based on its Opening Brief’s Appendix 12 and Reply Brief’s Supplemental Appendix 1. (Reply Brief, p. 24).

Finally, certain statements made by Complainant in its Reply Brief concerning Respondents’ discovery practices are mischaracterized and inaccurate, and warrant a response.

Accordingly, Respondents move for the ALJ to strike the Supplemental Appendices from the record and disregard any new arguments related to those Appendices. That being said, in light of recent FMC procedural rulings involving similar facts, in the event that the ALJ does not view it is proper to strike the Supplemental Appendices from the record, Respondents (i) request an Order requiring Complainant to address the procedural deficiencies latent in the Supplemental

Appendixes, and (ii) move for leave to file a sur-reply 10 days from the issuance of any such order granting Respondents' request to file a sur-reply. If granted leave to file a sur-reply, Respondents also seek an order allowing Respondents' to supplement the record to respond to accusations made in the Reply Brief regarding Respondents' actions during discovery.

Recent FMC Dockets have addressed similar procedural issues in the last 6 months, and when new evidence was improperly inserted into the complainants' reply briefs, the Presiding Officers have (i) ordered that the complainant address the procedural issues with its supplemental appendix, including to file a table of contents for the supplemental appendix (*see* Doc. 62; Dkt. 22-21 (July 14, 2023) (*MSRF, Inc. v. Yang Ming Transport Corporation*)); and (ii) granted the respondents' requests to file a timely sur-reply (*Id.* (granting the requested 7 days for the respondent's sur-reply filing); *see also* Doc. 39; Dkt. 22-20 (June 12, 2023) (*MSRF Inc. v. HMM Company Limited*) (granting 10 days for the respondent's sur-reply filing).

II. ARGUMENT

A. Complainant Improperly Introduced New Evidence and Arguments in its Reply Brief

Complainant has introduced new arguments and new evidence in its Reply Brief, including through the introduction of Supplemental Appendices that do not conform to FMC rules governing this proceeding, such as the applicable Scheduling Orders. Further, the information contained in both Supplemental Appendices were available and known to Complainant when it submitted its Opening Brief.

Generally, "reply briefs are limited in scope to matters either raised by the opposition or unforeseen at the time of the original motion." *Burnham v. City of Rohnert Park*, 1992 WL 672965, at *1 n. 2 (N.D. Cal. May 18, 1992) (citing *Lujan v. National Wildlife Federation*, 497 U.S. 871, 110 S.Ct. 3177, 111 L.Ed.2d 695 (1990).) "New evidence submitted as part of a reply is improper"

because the opposing party is deprived of the opportunity to respond. *Morris v. Guetta*, 2013 WL 440127, *8 (C.D. Cal. Feb. 4, 2013). “In rare instances, it may be appropriate to include evidence with reply papers (i.e., if the evidence was not available when the motion was filed). But in nearly all circumstances procedural fairness requires that moving parties present all the evidence upon which they intend to rely before the deadline for which opposing parties must respond to the motion. . . Attempting to present evidence after the opposing parties no longer have an opportunity to respond to a motion is inherently unfair and improper.” *In re Basquez*, No. 6:18-BK-19790-WJ, 2020 WL 6929242 (Bankr. C.D. Cal. 2020).

Complainant’s Reply Brief’s Supplemental Appendix 1 contains certain bills of lading that were produced to it in discovery by Respondents in June 2023, but Complainant chose not to use such documents in Complainant’s Opening Brief (despite being timely produced by Respondent and in Complainant’s possession). The stated reason for doing so was that Complainant’s original Opening Brief’s Appendix 12 containing MSC master bills of lading (“MBLs”) was merely a sample, and because it was 381 pages long, Complainant “thought it better to select a few to present as evidence.” (Reply Brief at p. 24). However, of those 381 pages that Complainant relied on to form a key part of its arguments, there were only 20 MBLs actually “sampled,” comprising approximately 40 pages of the 381 page Appendix 12. The remaining pages were duplicate copies of non-party MSC’s terms and conditions. Complainant’s Reply Brief now characterizes Respondents’ citations to Complainant’s own Appendix 12 proffered as evidence in its Opening Brief as “counterfactual.” (Reply Brief at p. 31).

The Reply Brief’s Supplemental Appendix 1 was in the possession of the Complainant well before its Opening Brief. Further, as will be discussed further below, Complainant erroneously states that “Respondents have staunchly refused to produce the MBLs” listed in its Requests for

Admission, citing a placeholder “citation.” (Reply Brief at p. 24). Respondents in fact produced thousands of pages of bills of lading to Complainant, and has file transfer records showing they were downloaded by Complainant. When counsel for Respondent noted that they had trouble opening certain files after they were downloaded on June 21, 2023, an additional batch of shipping documents were immediately re-sent. Respondents received no additional follow-up indicating that Complainant was unable to access the batch of discovery files that were shown as downloaded on Respondents’ file transfer site, and Respondents would have sought to send whatever documents that Complainant could not open from the initial transfer upon request.

Complainant’s Supplemental Appendix 2 contains a variety of email chains that purport to support Complainant’s claims that it used “reasonable efforts” under its terms and conditions to collect certain destination charges at issue in this case owed by liable third-party consignees to non-party MSC. (Reply Brief at p. 4-5). These documents were also available to Complainant when it submitted its Opening Brief.

While Complainant’s new arguments and evidence do not cure the pleading deficiencies inherent to its purported Shipping Act claims against the Respondents, which in essence focus on invoices issued to it by non-party MSC, FMC precedent and federal case law make clear that the proper relief here is for Respondents to be permitted to file a sur-reply.

B. Respondents Should Be Permitted to File a Sur-reply

When presented with a reply brief that contains new evidence, particularly evidence that was available at the time of the initial briefing, federal courts have consistently held that a sur-reply is appropriate despite the fact that the Federal Rules of Civil Procedure (and FMC rules of procedure) do not expressly permit the filing of sur-replies. (*See, e.g., Beaird v. Seagate Tech., Inc.*, 145 F.3d 1159, 1164 (10th Cir. 1998) (“[W]hen a moving party advances in a reply new

reasons and evidence in support of its motion for summary judgment, the nonmoving party should be granted an opportunity to respond.”); *see also Atl. Specialty Ins. Co. v. Digit Dirt Worx, Inc.*, 793 F. App’x 896, 901–02 (11th Cir. 2019) (“When faced with a reply brief that offers new evidence, we, like the Tenth Circuit, conclude that the district court has two permissible courses of action. It can either (1) permit the nonmoving party to file a surreply or (2) refrain from relying on any new material contained in the reply brief.”); *see also McGruder v. Metro. Gov’t of Nashville & Davidson Cnty., Tennessee*, No. 3:17-CV-01547, 2020 WL 4586171, at *2 (M.D. Tenn. Aug. 10, 2020) (“[W]hile a district court nonetheless has the discretion to consider an issue raised in a reply brief, or new evidence submitted with a reply, it must first give the opposing party a reasonable opportunity to respond to the new argument or evidence. Failure to do so is an abuse of discretion.”)).

As noted herein, recent FMC case law has addressed similar procedural issues concerning new arguments and evidence submitted within a Reply Brief in recent months, and the Presiding Officer has consistently granted the respondents an opportunity to file a sur-reply. (*See MSRF, Inc. v. Yang Ming Transport Corporation*, Doc. 62; Dkt. 22-21 (July 14, 2023); *see also MSRF Inc. v. HMM Company Limited*, Doc. 39; Dkt. 22-20 (June 12, 2023)).

Again, the Reply Brief’s Supplemental Appendix 1 contains MSC MBLs that were already previously produced to Complainant in discovery in June 2023 long before its Opening Brief was submitted. Further, the Reply Brief states that Respondents’ discussion of Complainant’s own MBL evidence proffered in its Opening Brief’s Appendix 12 is “counterfactual,” despite the fact that it was Complainant who sought to rely on that evidence in its Opening Brief. (Reply Brief at p. 31). Complainant then makes new arguments regarding its “course of dealing” with MSC, asserts the MBLs they cited as evidence in its Opening Brief should not be considered as accurate

reflections of the parties' relationship, and points to its terms and conditions and the Respondents' purported contractual liabilities. (Reply Brief at p. 24). Regardless, it is unclear how any of the MBLs identified in Supplemental Appendix 1 support specific Shipping Act violation allegations against Sterling or Atlantic, or how they are tied to specific invoices alleged to have been issued by non-party MSC to Complainant.

Finally, Complainant has made false and accusatory statements regarding Respondents' purported "refusal" to produce bill of lading documentation, which were not referenced in its Opening Brief and that warrant a response from the Respondents. (Reply Brief at p. 8, p. 24). Respondents therefore move to supplement the record with a sur-reply, that can include (i) file transfer records indicating that such documents were produced and downloaded by Complainant, (ii) that after Complainant's counsel indicated some files were corrupted, Respondents sought to remedy the issue by resending certain discovery files in June 2023; and (iii) that after June 21, 2023, Complainant never requested that Respondents re-send or attempt to re-send any of the referenced shipping documents proposed for production that Respondents believed were in Complainant's possession in good faith.

The Reply Brief's Supplemental Appendix 2 contains emails purportedly reflecting a sample of Complainant's collection efforts towards liable third-party consignees. Complainant for the first time makes arguments about the "reasonableness" of its efforts to collect local charges from liable third-party consignees, including pursuant to its terms and conditions (Reply Brief at p. 4-5), – which although is a question of contract law, breach, and Complainant's failure to mitigate damages (and is not proper for the FMC to decide, like most of Complainant's breach of contract claims), these new arguments based on new evidence and raised only for the first time in Complainant's Reply Brief warrant a response.

III. CONCLUSION

For the foregoing reasons, Respondents respectfully request that they be afforded an opportunity to file a sur-reply 10 days after an order granting such relief is issued (in the event that the ALJ does not strike the Supplemental Appendices from the record), and all other relief that the ALJ deems warranted and proper.

Date: September 22, 2023

Respectfully Submitted,

/s/ Ashley K. Kelley

Ashley K. Kelley, Esq.

(SC #78013; US District Court for the
District of South Carolina #10369)

Womble Bond Dickinson (US) LLP

5 Exchange Street

PO Box 999 (29402)

Charleston, SC 29401

Direct Dial: (843) 720-4679

Email: Ashley.Kelley@wbd-us.com

Julius H. Bodie, Esq.

(D.C. Bar # 1601620; CA Bar # 318048)

Womble Bond Dickinson (US) LLP

2001 K Street, NW

Suite 400 South

Washington D.C. 20006

Direct Dial: (202) 857-4552

Email: Julius.Bodie@wbd-us.com

*Counsel for Atlantic Forwarding Ltd. and Sterling
Container Line Limited*

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 22nd day of September 2023, the foregoing Motion for Leave to File Sur-reply was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
The Honorable Erin M. Wirth
Chief Administrative Law Judge
Presiding Administrative Law Judge
judges@fmc.gov

Complainant
SEAFair USA LLC
C/O LIANG + MOONEY, PLLC
Shanshan Liang, Esq.
sliang@customscourt.com
Counsel for SeaFair USA LLC

/s/ Ashley K. Kelley
Ashley K. Kelley, Esq.